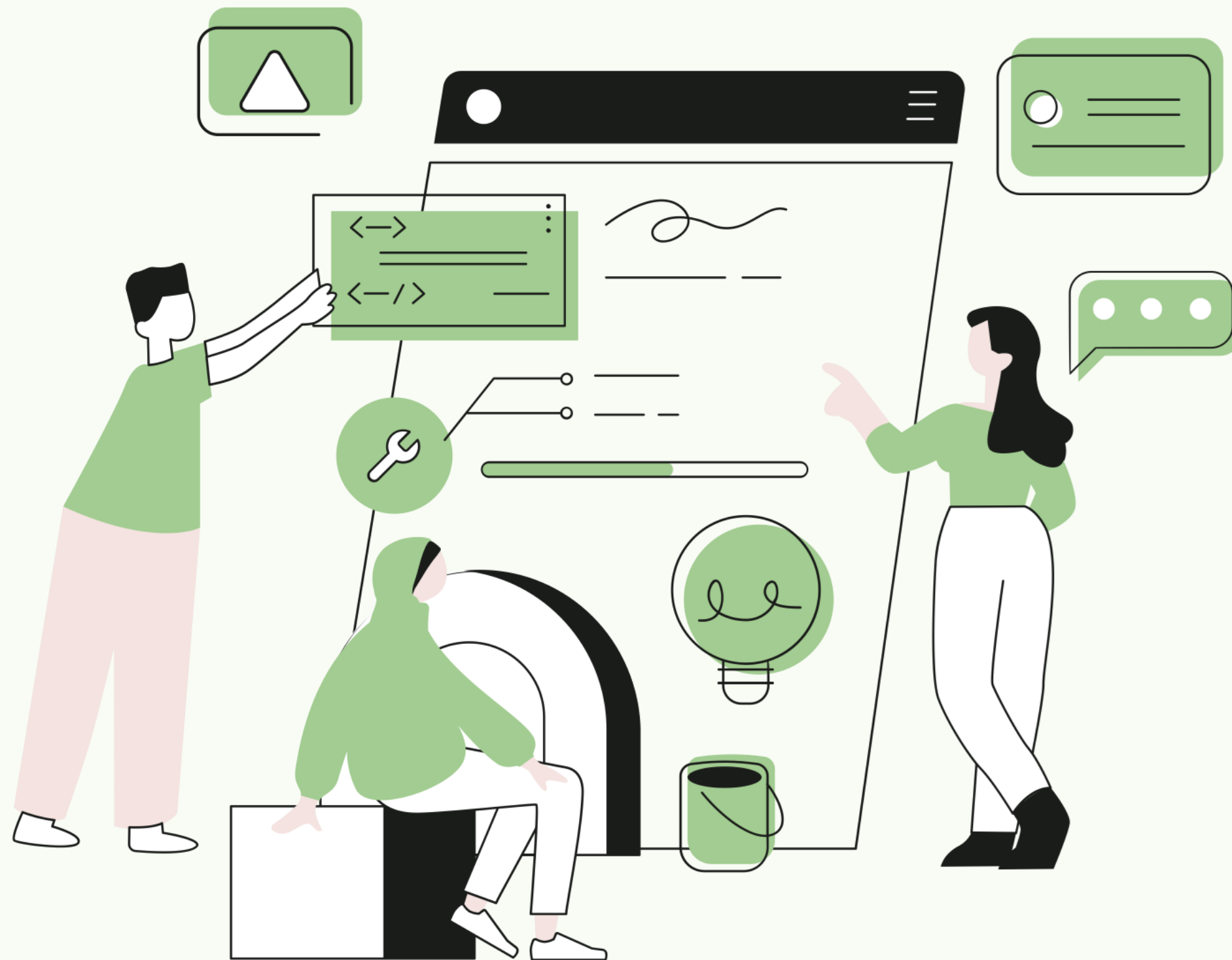




CUSTOMER CHURN ANALYSIS & RETENTION STRATEGY

*Identifying Key Drivers of Customer
Churn and Recommending Data-Driven
Retention Strategies*

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PROJECT OVERVIEW

Objective

The objective of this project is to analyze customer churn patterns and identify factors contributing to customer attrition.

The analysis aims to:

- Measure overall churn performance
- Identify high-risk customer segments
- Understand churn behavior across contract types, tenure groups, internet services, and payment methods
- Recommend actionable retention strategies

BUSINESS PROBLEM

Customer churn represents a major challenge for telecommunication companies, as acquiring new customers is significantly more expensive than retaining existing ones.

The organization is experiencing customer losses but lacks clear visibility into:

- Which customer segments are most likely to churn
- What factors contribute to customer attrition
- Which customers should be prioritized for retention efforts
- What actions can be taken to reduce future churn

Without understanding these patterns, retention initiatives may be ineffective and resources may be allocated inefficiently.

Project Goal

Analyze customer behavior and identify the key drivers of churn to support data-driven retention strategies.

DATASET OVERVIEW

Dataset Summary -

- Industry: Telecommunications
- Total Customers: 7,043
- Churned Customers: 1,869
- Features Analyzed:
 - Contract Type
 - Internet Service
 - Payment Method
 - Customer Tenure
 - Customer Churn Status

Data Preparation -

- Removed irrelevant fields
- Checked data quality
- Created calculated measures for churn analysis
- Built interactive dashboard using Power BI

KEY BUSINESS QUESTIONS

1. What is the overall customer churn rate?
2. What proportion of customers have churned versus remained retained?
3. Which contract type has the highest concentration of churned customers?
4. How does customer tenure influence churn behavior?
5. Which tenure segment is at the greatest risk of churn?
6. Which internet service category contributes the most to customer churn?
7. Which payment method is associated with the highest churn rate?
8. Which customer segments should be prioritized for retention initiatives?
9. What characteristics define a high-risk customer profile?
10. What retention strategies can be implemented to reduce customer attrition?

OVERALL CHURN PERFORMANCE

Customer Churn Overview -

Key Metrics:

Total Customers: 7,043

Churned Customers: 1,869

Churn Rate: 26.58%

Insight:

More than one in four customers have discontinued services, indicating a significant retention challenge.

Business Implication:

Reducing churn by even a small percentage could result in substantial customer retention and revenue preservation.

CONTRACT TYPE ANALYSIS

Which Customers Are Most Likely To Leave?

Findings

- Month-to-Month customers account for the highest number of churned customers.
- One-Year and Two-Year contract customers show considerably lower churn levels.

Key Insight

Contract commitment appears strongly linked to customer retention.

Business Recommendation

Introduce incentives that encourage customers to migrate from Month-to-Month contracts to longer-term plans.

CUSTOMER LIFECYCLE ANALYSIS

Impact of Customer Tenure on Churn -

Findings -

Tenure Group	Churn Rate
0–12 Months	47.68%
13–24 Months	28.71%
25–48 Months	20.39%
49+ Months	9.51%

Key Insight-

Customers are most vulnerable during their first year.

Business Recommendation-

Develop onboarding and engagement programs targeting new customers.

INTERNET SERVICE ANALYSIS

Which Service Segment Drives Churn?

Findings

Fiber Optic customers represent the largest group of churned customers.

DSL customers contribute significantly less churn.

Customers without internet service show minimal churn.

Key Insight

A large proportion of customer losses originate from Fiber Optic subscribers.

Business Recommendation

Investigate pricing, service quality, and customer satisfaction among Fiber Optic users.

PAYMENT METHOD ANALYSIS

How Does Payment Behavior Influence Churn?

Findings

Electronic Check customers have the highest churn rate.

Automatic payment methods show significantly lower churn rates.

Key Insight

Customers using manual payment methods appear more likely to discontinue services.

Business Recommendation

Promote automatic payment enrollment through discounts and convenience-based incentives.

HIGH-RISK CUSTOMER PROFILE

Characteristics of High-Risk Customers -

Most Likely To Churn

- ✓ Month-to-Month Contract
- ✓ Customer Tenure Below 12 Months
- ✓ Fiber Optic Service
- ✓ Electronic Check Payment Method

Business Value

These characteristics can be used to identify customers requiring proactive retention efforts.

RECOMMENDED RETENTION STRATEGY

Priority 1

Convert Month-to-Month customers into long-term contract subscribers.

Priority 2

Focus retention campaigns on customers within their first year.

Priority 3

Conduct satisfaction analysis among Fiber Optic customers.

Priority 4

Encourage adoption of automatic payment methods.

BUSINESS IMPACT

Expected Business Benefits -

If churn reduction initiatives are targeted toward identified high-risk segments, the organization can potentially achieve:

- Improved customer retention
- Higher customer lifetime value
- Reduced customer acquisition costs
- Better long-term revenue stability
- More effective retention spending

CONCLUSION

The analysis identified four major churn drivers:

- Month-to-Month contracts
- Short customer tenure
- Fiber Optic service users
- Electronic Check payment users

By focusing retention efforts on these customer segments, the organization can address the most significant sources of customer attrition and improve long-term customer loyalty.

THANK YOU!

